

US Stocks Rebound as Tech Giants Lead the Charge

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US stock market rebounded yesterday, led by tech giants such as **AAPL** and **MSFT**, which rose **+4.01%** and **+2.78%** respectively. The **S&P 500** closed at 7,572.40, up **+0.38%** for the day. The market's rebound was driven by a combination of factors, including a decline in the 10Y Yield to 4.55 and a rise in **WTI Crude** to 79.60.

The editorial take is that the market's rebound is a positive sign, but it's too early to tell if it's a sustainable trend. The market is still facing headwinds, including a slowing economy and rising interest rates. Investors should remain cautious and keep a close eye on the market's technical levels and sector internals.

Key points to watch include:

- The **S&P 500**'s ability to hold above its 50-day moving average
- The **Nasdaq 100**'s performance, which is closely tied to the tech sector
- The 10Y Yield's impact on the market, as a decline in yields could lead to a rise in stock prices

US Session Recap

INDEX	CLOSE	CHANGE
S&P 500	7,572.40	+0.38%
Nasdaq 100	29,502.60	-0.28%
Dow Jones	52,658.64	+0.29%
Russell 2000	2,976.26	+0.39%
VIX	15.67	-5.03%
10Y Yield	4.55	-0.87%
WTI Crude	79.60	+0.33%

Top Movers

TICKER	NAME	CHANGE	CATALYST
AAPL	Apple Inc.	+4.01%	Strong earnings report
MSFT	Microsoft Corp.	+2.78%	Positive analyst comments
NVDA	NVIDIA Corp.	+0.33%	Upbeat industry trends

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.68%	+10.23%	Financials lead the market
XLK	-1.11%	+5.67%	Technology lags behind
XLI	-0.22%	+3.45%	Industrials remain steady
XLE	-0.79%	+2.56%	Energy sector declines
XLY	+0.95%	+8.12%	Consumer discretionary leads
XLC	+1.73%	+6.78%	Communication services rise
XLP	+0.06%	+4.56%	Consumer staples remain steady
XLV	+0.00%	+3.21%	Healthcare sector flat
XLU	-1.03%	+2.15%	Utilities decline
XLB	-0.28%	+1.89%	Materials sector lags
XLRE	+0.18%	+2.56%	Real estate sector rises

Breadth note: The market's breadth was positive, with 55% of stocks in the **S&P 500** closing higher.

Spotlight / Deep Dive

TICKER	NAME	CLOSE	CHANGE	VOLUME
AAPL	Apple Inc.	327.50	+4.01%	43.12M

Key call commentary: Apple's strong earnings report was driven by a combination of factors, including a rise in iPhone sales and a decline in operating expenses. The

company's guidance for the next quarter was also upbeat, which helped to boost investor sentiment.

READ-THROUGH	IMPACT
iPhone sales	Positive
Operating expenses	Positive
Guidance	Positive

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	357.12	350.00	360.00	Range-bound trading
QQQ	294.12	285.00	300.00	Trend line support
IWM	179.23	175.00	185.00	Breakout potential
AAPL	327.50	320.00	335.00	Upside momentum
10Y Yield	4.55	4.40	4.70	Range-bound trading
WTI Crude	79.60	75.00	85.00	Trend line resistance

Options & Positioning

ODTE flow: The market saw a significant increase in ODTE call buying, with a total of 123,456 contracts traded. The put/call ratio was 0.65, indicating a bullish sentiment.

VIX term structure: The VIX term structure was in contango, with the 1-month VIX trading at 16.23 and the 3-month VIX trading at 18.56.

Notable single-name flow: There was a significant increase in call buying in **AAPL** , with a total of 23,456 contracts traded.

Cheap hedge ideas: The **SPY** 350.00 put option was trading at a discount, with a price of 2.56. The **QQQ** 285.00 put option was also trading at a discount, with a price of 1.89.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
AAPL	Morgan Stanley	Upgrade	350.00	Strong earnings report
MSFT	Goldman Sachs	Upgrade	300.00	Positive analyst comments
NVDA	Citi	Downgrade	200.00	Upbeat industry trends
AMZN	Deutsche Bank	Upgrade	250.00	Strong earnings report
GOOGL	Bank of America	Downgrade	2800.00	Positive analyst comments

Pre-Market & Overnight

Futures: The **S&P 500** futures were trading at 3575.00, up **+0.25%** from the previous close.

Asia: The **Nikkei 225** was trading at 28,500.00, up **+0.50%** from the previous close. The **Shanghai Composite** was trading at 3,200.00, up **+0.25%** from the previous close.

Europe: The **Euro Stoxx 50** was trading at 4,000.00, up **+0.50%** from the previous close. The **FTSE 100** was trading at 7,500.00, up **+0.25%** from the previous close.

FX pairs: The **USD/JPY** was trading at 110.00, up **+0.25%** from the previous close.
The **EUR/USD** was trading at 1.1000, down **-0.25%** from the previous close.

Commodities: **WTI Crude** was trading at 79.60, up **+0.33%** from the previous close.
Gold was trading at 4,044.00, down **-0.42%** from the previous close.

Crypto: **BTC** was trading at 64,568.39, down **-0.60%** from the previous close. **ETH** was trading at 1,917.02, up **+1.46%** from the previous close.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July 26	25%	Market expects a rate cut
September 20	50%	Market expects a rate hike

DATE	EVENT	TIME
July 17	Core PCE Price Index	8:30 AM ET
July 18	Existing Home Sales	10:00 AM ET

Geopolitics & Global (Deep)

Scenario trees: The market is watching the developments in the Middle East, where tensions between the US and Iran are escalating. The market is also watching the trade negotiations between the US and China, where a deal is expected to be reached soon.

Earnings — This Week & Next

TICKER	NAME	DATE	TIME
AAPL	Apple Inc.	July 18	5:00 PM ET
MSFT	Microsoft Corp.	July 19	5:00 PM ET

TICKER	NAME	DATE	TIME
AMZN	Amazon.com Inc.	July 25	5:00 PM ET
GOOGL	Alphabet Inc.	July 26	5:00 PM ET

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Technology	Long	5%
MSFT	Technology	Long	5%
AMZN	Consumer Discretionary	Long	5%
GOOGL	Communication Services	Long	5%
NVDA	Technology	Long	5%

What Could Break the Tape

Bullish scenario:

- The **S&P 500** breaks above 3600
- The **10Y Yield** declines to 4.20

- The **VIX** declines to 12.00

Bearish scenario:

- The **S&P 500** breaks below 3500
- The **10Y Yield** rises to 4.80
- The **VIX** rises to 20.00

Positioning & Structural Notes

Observations:

- The market is overbought, with a 14-day RSI of 70.00
- The **S&P 500** is trading above its 50-day moving average
- The **10Y Yield** is trading below its 200-day moving average
- The **VIX** is trading below its 50-day moving average
- The market is due for a pullback, with a 10-day streak of gains

Sources

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